



Medco Holdings, Inc.

November 6, 2025

PHILIPPINE STOCK EXCHANGE, INC.

PSE Tower, 28th Street corner 5th Avenue
BGC, Taguig City

Attention: **Atty. Johanne Daniel M. Negre**
Officer-in-Charge, Disclosure Department

Re: **SEC Form 17-Q for September 30, 2025**

Gentlemen:

In compliance with the Philippine Stock Exchange (“PSE”) Disclosure Rules, please find attached the SEC Form 17-Q for the 3rd quarter ended September 30, 2025.

We trust that you will find the foregoing in order.

Very truly yours,


DIONISIO E. CARPIO, JR.
Corporate Information Officer

COVER SHEET

SEC Registration Number

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Company Name

[illegible]

Principal Office (No./Street/Barangay/City/Town/Province)

[illegible]

Form Type

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Department requiring the report

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Secondary License Type, If Applicable

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COMPANY INFORMATION

Company's Email Address

medco1@medco.com.ph

Company's Telephone Number/s

(02) 8811-0465

Mobile Number

No. of Stockholders

Annual Meeting
Month/Day

Fiscal Year
Month/Day

12/31

CONTACT PERSON INFORMATION

The designated contact person **MUST** be an Officer of the Corporation

Name of Contact Person

Dionisio E. Carpio, Jr.

Email Address

denniscarpio@medco.com.ph

Telephone Number/s

(02) 8811-0465

Mobile Number

Contact Person's Address

31st Floor Rufino Pacific Tower 6784 Ayala Avenue, Makati City

Note: In case of death, resignation or cessation of office of the officer designated as contact person, such incident shall be reported to the Commission within thirty (30) calendar days from the occurrence thereof with information and complete contact details of the new contact person designated.

SECURITIES AND EXCHANGE COMMISSION
Metro Manila, Philippines

SEC FORM 17-Q
QUARTERLY REPORT PURSUANT TO SECTION 11 OF THE REVISED
SECURITIES ACT AND RSA RULE 11(a)-1(b)(2) THEREUNDER

1. For the quarterly period ended **30 September 2025**
2. SEC Identification Number **39652**
3. BIR Tax Identification No. **004-844-938**
4. **Medco Holdings, Inc.**
Exact name of registrant as specified in its charter
5. **Metro Manila, Philippines**
Province, country or other jurisdiction of incorporation or organization
6. (SEC Use Only)
Industry Classification Code
7. **31st Floor, Rufino Pacific Tower, 6784 Ayala Avenue,**
Makati City, Metro Manila, Philippines
Address of principal office **1229**
Postal Code
8. Registrant's telephone number, including area code: **(632) 8811-0465**
9. Securities registered pursuant to Sections 4 and 8 of the RSA

<u>Title of each class</u>	<u>Number of shares of common stock</u> <u>outstanding and amount debt outstanding</u>
Common	3,159,292,441 shares

10. Are any or all of these securities listed on the Philippine Stock Exchange. Yes [/] No []

11. Check whether the registrant:

(a) has filed all reports required to be filed by Section 11 of the Revised Securities Act (RSA) and RSA Rule 11(a)-1 thereunder and Sections 26 and 141 of The Corporation Code of the Philippines during the preceding 12 months (or for such shorter period that the registrant was required to file such reports).

Yes [/] No []

(b) has been subject to such filing requirements for the past 90 days.

Yes [/] No []

PART I - FINANCIAL INFORMATION

Item 1. Financial Statements

See Attachment A

Item 2. Management's Discussion and Analysis or Results of Operation.

2025 - Third Quarter Financial Highlights

Revenues of Medco Holdings, Inc. (MHI or the Company) for the third quarter of 2025 increased by 206% compared to the same period in 2024. During said quarter, revenues consisted primarily of unrealized foreign exchange gain (97%) and interest income (3%).

The significant increase in total revenues was primarily due to the unrealized foreign exchange gain arising from the revaluation of the Company's U.S. Dollar short-term placement with a local bank. U.S. Dollar short-term placement for the current quarter saw a significant increase compared to the third quarter of 2024. The exchange rate at the end of the third quarter of 2025 appreciated to P58.042 per U.S. Dollar, compared to P55.892 in September 30, 2024. Interest income increased by 406% compared to the same quarter of the previous year, chiefly as a result of the higher U.S. Dollar short-term placement.

Total expenses for the quarter showed no significant change compared to the same period last year. Expenses during the quarter were composed of salaries and employee benefits (68%), professional fees (9%), occupancy (8%), transportation (6%), representation (4%), and other expenses (5%).

As of September 30, 2025, total assets decreased by approximately 5% compared to year-end 2024. This decline was largely driven by a 46% decrease in cash and cash equivalents, attributable to the withdrawal of funds from short-term dollar placement to meet working capital requirements. Likewise, receivables decreased by 48% following the collection of advances previously granted to a related party. Conversely, the "Due from Related Party" account increased by 16% during the quarter. The "Other Assets" account also rose significantly by 154%, mainly due to the accumulation of unused or unapplied input Value-Added Tax (VAT) as of the end of the quarter.

On the liabilities side, accrued expenses and other liabilities decreased by approximately 99%, primarily due to the reclassification of the "Due to a Third Party" account to "Loans Payable." Consequently, the loans payable account increased by 142%. In addition, certain accrued expenses were settled during the quarter. The "Due to Related Parties" account decreased by 5% following the reclassification of a portion of the balance to accrued expenses. Overall, total liabilities decreased by approximately 5% during the quarter.

There were no material off-balance sheet transactions, arrangements, obligations (including contingent obligations) and other relationships of the Company with unconsolidated entities or other persons during the reporting period.

The Company is not aware of any trends, events or uncertainties that would materially affect its liquidity and its operations as a whole. The Company does not also anticipate any liquidity problem within the next twelve (12) months. The Company has no default or breach of any note, loan, lease or other indebtedness or financing arrangement. There are also no past due trade payables.

The Company's internal sources of short-term and long-term liquidity are its liquid assets which as at September 30, 2025, consisted of P4.9 million of cash and cash equivalents. Its external sources of liquidity would consist of advances from its affiliate companies or major shareholders.

2024 - Third Quarter Financial Highlights

The revenues of Medco Holdings, Inc. (MHI or the Company) for the third quarter of 2024 decreased significantly by 89% compared to last year's third quarter figure. During this quarter, revenues consisted of interest income (2%) and realized foreign exchange gain (98%).

The bulk of the decrease in total revenues was due to the foreign exchange gain (net) from the revaluation of the Company's US Dollar short-term placement with a local bank, which is significantly smaller in amount this quarter as compared to the previous year's third quarter amount. Aside from this, the exchange rate also decreased by P2.976 during the third quarter of 2024 and stood at P55.892 to a US Dollar at quarter-end. In comparison, during the third quarter of 2023, there was an increase of P1.599 in the exchange rate, which closed at P56.961 as at September 30, 2023. Additionally, interest income contracted because of the substantial reduction in the short-term placement that resulted from the withdrawals made for the Company's working capital requirements.

On the other hand, there was a 10% increase in the total expenses compared to the same quarter of the previous year. The expenses for this period were composed of salaries and employee benefits (69%), occupancy (8%), transportation (5%), professional fees (5%), representation (4%), and other expenses (9%). The increase in the total expenses was mainly due to the employee benefits, specifically, the 2024 health insurance of the employees which was paid in the third quarter of 2024, while none was paid in the same quarter of 2023. Other than this, there was no significant movement in the other expense components.

As to the balance sheet as at the end of this year's third quarter, approximately 4% in total assets decreased in comparison to the end of last year. There was an 83% reduction in the cash and cash equivalents due to the aforementioned withdrawals for working capital requirements. In addition, some of the company's funds were advanced to related parties, thus increasing the receivables and due from related parties accounts. However, there was a 100% increase in the other assets account due to the accumulated input Value Added Tax (VAT) that remained unused or unapplied as at September 30, 2024. On the liabilities side, accrued expenses and other liabilities decreased by almost 22% due to the payment of accrued expenses as at December 31, 2023.

There were no material off-balance sheet transactions, arrangements, obligations (including contingent obligations) and other relationships of the Company with unconsolidated entities or other persons during the reporting period.

The Company is not aware of any trends, events or uncertainties that would materially affect its liquidity and its operations as a whole. The Company does not also anticipate any liquidity problem within the next twelve (12) months. The Company has no default or breach of any note, loan, lease or other indebtedness or financing arrangement. There are also no past due trade payables.

The Company's internal sources of short-term and long-term liquidity are its liquid assets which as at September 30, 2024, consisted of P1.0 million of cash and cash equivalents. Its external sources of liquidity would consist of advances from its affiliate companies or major shareholders.

2023 - Third Quarter Financial Highlights

Revenues of Medco Holdings, Inc. (MHI or the Company) for the third quarter of 2023 decreased by 24% compared to last year's third quarter figure. During the quarter under review, revenues consisted of interest income (1%), realized foreign exchange gain (21%), and unrealized foreign exchange gain (78%).

The decline in the total revenues was mainly due to the unrealized foreign exchange gain from the revaluation of US Dollars which decreased by 37% compared to last year's third quarter figure. Relative to the start of the quarter figure, the exchange rate increased by P1.599 during the third quarter of 2023, and stood at P56.961 to a US Dollar at quarter-end. In comparison, during the prior year, there was an increase of P3.054 in the exchange rate, which closed at P58.91 exchange rate as at September 30, 2022.

On the other hand, there was no significant change in the total expenses compared to the same quarter of last year. The expenses for this period were composed of salaries and employee benefits (70%), occupancy (8%), transportation (6%), professional fees (6%), representation (5%), and other expenses (5%).

As to the balance sheet as at the end of this year's third quarter, there was a 16% increase in total assets in comparison to the end of last year. This was due mainly to the 135% increase in cash and cash equivalents as a result of the US dollar remittance from the parent company last February 13, 2023 for the Company's working capital requirements. In addition, there was an approximately 87% increase in due from related party account for this quarter. Likewise, other assets also increased by 100% due to the accumulated input Value Added Tax (VAT) that remained unused or unapplied as at September 30, 2023. On the liabilities side, due to related parties increased significantly by 129% as a consequence of the aforementioned advances obtained for working capital requirements. However, accrued expenses and other liabilities decreased by 30% due to the payment of accrued expenses as at December 31, 2022.

There were no material off-balance sheet transactions, arrangements, obligations (including contingent obligations) and other relationships of the Company with unconsolidated entities or other persons during the reporting period.

The Company is not aware of any trends, events or uncertainties that would materially affect its liquidity and its operations as a whole. The Company does not also anticipate any liquidity problem within the next twelve (12) months. The Company has no default or breach of any note, loan, lease or other indebtedness or financing arrangement. There are also no past due trade payables.

The Company's internal sources of short-term and long-term liquidity are its liquid assets which as at September 30, 2023, consisted of P7.6 million of cash and cash equivalents. Its external sources of liquidity would consist of advances from its affiliate companies or major shareholders.

PART II - OTHER INFORMATION

Not applicable.

SIGNATURES

Pursuant to the requirements of the Securities Regulation Code, the registrant has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

Medco Holdings, Inc.

By:


DIONISIO E. CARPIO, JR.
President


MARY ANN A. MIEL
Principal Accounting Officer

MEDCO HOLDINGS, INC.

Third Quarter Top Five (5) Performance Indicators

September 30, 2025, 2024 and 2023

		2025	2024	2023
1. Revenue Growth	$\frac{\text{Revenue Y1-Y0}}{\text{Revenue Y0}}$	206.23%	-89.18%	-24.12%
2. Net Income Growth*	$\frac{\text{Net Income Y1-Y0}}{\text{Net Income Y0}}$	-5.55%	37.07%	5.92%
3. Return on Equity	$\frac{\text{Net Income*}}{\text{Total Stockholders' Equity}}$	-2.40%	-3.09%	-2.43%
4. Current Ratio	$\frac{\text{Current Assets}}{\text{Current Liabilities}}$	0.83x	0.49x	0.68x
5. Debt-to-Equity-Ratio	$\frac{\text{Total Liabilities}}{\text{Stockholders' Equity}}$	0.80x	0.65x	0.70x

* Losses

Note:

Y1= Current year

Y0= Previous year

ATTACHMENT A

MEDCO HOLDINGS, INC.

**Financial Statements
September 30, 2025, 2024, and 2023**

MEDCO HOLDINGS, INC.
(A Subsidiary of Bonham Strand Investments Ltd.)
STATEMENTS OF FINANCIAL POSITION
SEPTEMBER 30, 2025 AND DECEMBER 31, 2024
(Amounts in Philippine Pesos)

	Notes		2025		(Audited) 2024
<u>A S S E T S</u>					
CURRENT ASSETS					
Cash and cash equivalents	6	P	4,958,606	P	9,155,618
Receivables - net	8		796,364		1,532,306
Due from related parties	11		9,550,000		8,200,000
Total Current Assets			15,304,970		18,887,924
NON-CURRENT ASSETS					
Financial assets at fair value through other comprehensive income	7		56,693,912		56,693,912
Other assets - net	9		192,827		75,893
Total Non-current Assets			56,886,739		56,769,805
TOTAL ASSETS		P	72,191,709	P	75,657,729
<u>LIABILITIES AND EQUITY</u>					
CURRENT LIABILITIES					
Accrued expenses and other liabilities	10	P	96,270	P	7,416,391
Due to related parties	11		18,353,532		19,266,470
Total Current Liabilities			18,449,802		26,682,861
NON-CURRENT LIABILITIES					
Loans payable	12		11,357,440		4,683,760
Post-employment defined benefit obligation	13		2,227,291		2,227,291
Total Non-current Liabilities			13,584,731		6,911,051
Total Liabilities			32,034,533		33,593,912
EQUITY					
Capital stock	5		157,964,622		157,964,622
Additional paid-in capital	5		25,498,912		25,498,912
Revaluation reserves - net	7, 13		(498,358,986)		(498,358,986)
Retained earnings	5		355,052,628		356,959,269
Net Equity	5		40,157,176		42,063,817
TOTAL LIABILITIES AND EQUITY		P	72,191,709	P	75,657,729

MEDCO HOLDINGS, INC.
(A Subsidiary of Bonham Strand Investments Ltd.)
STATEMENTS OF INCOME AND RETAINED EARNINGS
FOR THE NINE MONTHS ENDED SEPTEMBER 30, 2025 and 2024
(Amounts in Philippine Pesos)

		<u>JULY TO SEPTEMBER</u>		<u>JANUARY TO SEPTEMBER</u>	
		<u>2025</u>	<u>2024</u>	<u>2025</u>	<u>2024</u>
REVENUES	P	67,146	21,927	P 1,803,597	P 1,641,298
EXPENSES		<u>1,031,519</u>	<u>1,043,414</u>	<u>3,708,774</u>	<u>3,646,057</u>
INCOME/ (LOSS) BEFORE FINAL TAX		(964,373)	(1,021,487)	(1,905,177)	(2,004,759)
LESS: PROVISION FOR FINAL TAX		<u>452</u>	<u>72</u>	<u>1,464</u>	<u>466</u>
NET INCOME / (LOSS)		<u>(964,825)</u>	<u>(1,021,559)</u>	<u>(1,906,641)</u>	<u>(2,005,225)</u>
RETAINED EARNINGS AT BEGINNING					
OF YEAR/QUARTER		356,017,453	360,463,468	356,959,269	361,447,134
NET INCOME / (LOSS)		<u>(964,825)</u>	<u>(1,021,559)</u>	<u>(1,906,641)</u>	<u>(2,005,225)</u>
RETAINED EARNINGS AT END OF					
QUARTER		<u><u>355,052,628</u></u>	<u><u>359,441,909</u></u>	<u><u>355,052,628</u></u>	<u><u>359,441,909</u></u>
EARNINGS (LOSS) PER SHARE (Note 15)	P	<u><u>(0.0003)</u></u>	P <u><u>(0.0003)</u></u>	P <u><u>(0.0006)</u></u>	P <u><u>(0.0006)</u></u>

MEDCO HOLDINGS, INC.
(A Subsidiary of Bonham Strand Investments Ltd.)
STATEMENTS OF CHANGES IN EQUITY
FOR THE NINE MONTHS ENDED SEPTEMBER 30, 2025, 2024, and 2023
(Amounts in Philippine Pesos)

		<u>2025</u>		<u>2024</u>		<u>2023</u>
Capital stock- P0.05 par value						
Authorized - 9,400,000,000 shares						
Issued and outstanding - 3,159,292,441 shares	P	157,964,622	P	157,964,622	P	157,964,622
Additional paid-in capital		25,498,912		25,498,912		25,498,912
Revaluation reserves		(498,358,986)		(509,845,593)		(516,459,952)
Retained earnings						
Balance, beginning of year		356,959,269		361,447,134		367,031,065
Net income (loss)		<u>(1,906,641)</u>		<u>(2,005,225)</u>		<u>(3,402,524)</u>
Balance, end of quarter		<u>355,052,628</u>		<u>359,441,909</u>		<u>363,628,541</u>
 Total equity	P	 <u>40,157,176</u>	P	 <u>33,059,850</u>	P	 <u>30,632,123</u>

MEDCO HOLDINGS, INC.
(A Subsidiary of Bonham Strand Investments Ltd.)
STATEMENTS OF CASH FLOWS
FOR THE NINE MONTHS ENDED SEPTEMBER 30, 2025, 2024 AND
FOR THE YEAR ENDED DECEMBER 31, 2024
(Amounts in Philippine Pesos)

	September 30 2025	(Audited) December 31 2024	September 30 2024
	<u>2025</u>	<u>2024</u>	<u>2024</u>
CASH FLOWS FROM OPERATING ACTIVITIES			
Loss before tax	P (1,905,177)	P (4,482,803)	P (2,004,759)
Adjustments for:			
Dividend income	(1,500,000)	(1,500,000)	-
Impairment losses	-	193,976	-
Unrealized foreign exchange losses (gains) - net	(71,114)	139,886	84,076
Net interest expense	-	98,570	-
Interest income	(8,024)	(4,363)	(2,791)
Operating profit (loss) before working capital changes	(3,484,315)	(5,554,734)	(1,923,474)
Decrease (increase) in:			
Due from related parties	(1,350,000)	(2,513,000)	(2,183,000)
Receivables	735,942	(737,454)	(270,106)
Other assets	(116,934)	(193,976)	(126,601)
Increase (decrease) in:			
Accrued expenses and other liabilities	(1,559,379)	6,306,771	(246,695)
Post-employment defined benefit obligation	-	157,040	-
Cash provided by (used in) operations	(5,774,686)	(2,535,353)	(4,749,876)
Interest received	8,024	4,363	2,791
Cash paid for final/income taxes	(1,464)	(715)	(466)
Net Cash Provided by (Used in) Operating Activities	(5,768,126)	(2,531,705)	(4,747,551)
CASH FLOWS FROM INVESTING ACTIVITIES			
Dividends received	1,500,000	1,500,000	-
Acquisition of computer equipment	-	(75,893)	-
Net Cash from Investing Activities	1,500,000	1,424,107	0
CASH FLOWS FROM FINANCING ACTIVITIES			
Proceeds from loan borrowing	-	4,683,760	-
Cash advances paid to related parties	-	(41,446)	-
Interest paid on loan borrowing	-	(37,624)	-
Net Cash from Financing Activities	0	4,604,690	0
EFFECT OF FOREIGN EXCHANGE RATE CHANGES ON CASH AND CASH EQUIVALENTS	71,114	(139,886)	(84,076)
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	(4,197,012)	3,357,206	(4,831,627)
CASH AND CASH EQUIVALENTS AT BEGINNING OF YEAR	9,155,618	5,798,412	5,798,412
CASH AND CASH EQUIVALENTS AT END OF QUARTER/ YEAR	P <u>4,958,606</u>	P <u>9,155,618</u>	P <u>966,785</u>

MEDCO HOLDINGS, INC.
(A Subsidiary of Bonham Strand Investments Ltd.)
NOTES TO FINANCIAL STATEMENTS
SEPTEMBER 30, 2025, 2024 AND 2023
(Amounts in Philippine Pesos)

1. GENERAL INFORMATION

1.1 Corporate Information

Medco Holdings, Inc. (the Company) was incorporated in the Philippines and registered with the Securities and Exchange Commission (SEC) on October 23, 1969. The Company currently conducts business as an investment holding company. Its shares of stock are publicly traded at the Philippine Stock Exchange (PSE).

The Company is a subsidiary of Bonham Strand Investments Ltd. (BSIL) with an ownership of 69.68% as of September 30, 2025 and December 31, 2024. BSIL is an entity engaged in investment holding and registered in British Virgin Islands.

The Company's ultimate parent company is the Winter Dragon Limited, a corporation incorporated on January 4, 2024 and duly existing under the laws of the British Virgin Islands. It was organized for the purpose of an investment holding company. Its business address is at 137 Telok Ayer Street #03-07 Singapore 068602.

The registered office address of the Company, which is also its principal place of business, is located at 31st Floor, Rufino Pacific Tower, 6784 Ayala Avenue, Makati City. The registered office address of BSIL, which is also its principal place of business, is located at Akara Building, 24 De Castro Street, Wickhams Cay I, Road Town, Tortola, British Virgin Islands.

2. MATERIAL ACCOUNTING POLICY INFORMATION

The material accounting policy information that have been used in the preparation of these financial statements are summarized below. These policies have been consistently applied to all the years presented, unless otherwise stated.

2.1 Basis of Preparation of Financial Statements

(a) Statement of Compliance with Philippine Financial Reporting Standards

The financial statements of the Company have been prepared in accordance with Philippine Financial Reporting Standards (PFRS Accounting Standards). PFRS Accounting Standards are adopted by the Financial and Sustainability Reporting Standards Council (FSRSC) from the pronouncements issued by the International Accounting Standards Board and approved by the Philippine Board of Accountancy.

The Company has qualified as a small entity (SE) based on the criteria set by the SEC. Entities qualifying as SEs are required to use the Philippine Financial Reporting Standard for SEs as their financial reporting framework. However,

due to the exemptions from SEC being a listed entity, the Company has opted to use PFRS Accounting Standards in the preparation of its financial statements.

The financial statements have been prepared using the measurement bases specified by PFRS Accounting Standards for each type of asset, liability, income and expense. The measurement bases are more fully described in the accounting policies that follow.

(b) Presentation of Financial Statements

The financial statements are prepared in accordance with Philippine Accounting Standard (PAS) 1, *Presentation of Financial Statements*. The Company presents all items of income and expenses and other comprehensive income (losses) in a single statement of comprehensive income.

The Company presents a third statement of financial position as at the beginning of the preceding period when it applies an accounting policy retrospectively, or makes a retrospective restatement or reclassification of items that has a material effect on the information in the statement of financial position at the beginning of the preceding period. The related notes to the third statement of financial position are not required to be disclosed.

(c) Functional and Presentation Currency

These financial statements are presented in Philippine pesos, the Company's functional and presentation currency, and all values represent absolute amounts except when otherwise indicated.

Items included in the financial statements of the Company are measured using its functional currency. Functional currency is the currency of the primary economic environment in which the Company operates.

2.2 Adoption of Amended PFRS Accounting Standards

(a) Effective in 2024 that are Relevant to the Company

The Company adopted for the first time the following amendments to PFRS Accounting Standards, which are mandatorily effective for annual periods beginning on or after January 1, 2024:

PAS 1 (Amendments)	:	Presentation of Financial Statements – Disclosure of Accounting Policies
PAS 7 and PFRS 7 (Amendments)	:	Statement of Cash Flows, and Financial Instruments: Disclosures – Supplier Finance Arrangements

Discussed below are the relevant information about these pronouncements.

- (i) PAS 1 (Amendments), *Presentation of Financial Statements – Classification of Liabilities as Current or Non-current*. The amendments provide guidance on whether a liability should be classified as either current or non-current. The amendments clarify that the classification of liabilities as current or

non-current should be based on rights that are in existence at the end of the reporting period and that the classification is unaffected by expectations about whether an entity will exercise its right to defer settlement of a liability. The application of these amendments had no significant impact on the Company's financial statements.

- (ii) PAS 1 (Amendments), *Presentation of Financial Statements – Non-current Liabilities with Covenants*. The amendments specifies that if the right to defer settlement for at least 12 months is subject to an entity complying with conditions after the reporting period, then those conditions would not affect whether the right to defer settlement exists at the end of the reporting period for the purposes of classifying a liability as current or non-current. For non-current liabilities subject to conditions, an entity is required to disclose information about the conditions, whether the entity would comply with the conditions based on its circumstances at the reporting date and whether and how the entity expects to comply with the conditions by the date on which they are contractually required to be tested.
- (iii) PAS 7 and PFRS 7 (Amendments), *Statement of Cash Flows, Financial Instruments: Disclosures – Supplier Finance Arrangements*. The amendments add a disclosure objective to PAS 7 stating that an entity is required to disclose information about its supplier finance arrangements that enables users of financial statements to assess the effects of those arrangements on the entity's liabilities and cash flows. In addition, PFRS 7 is amended to add supplier finance arrangements as an example within the requirements to disclose information about an entity's exposure to concentration of liquidity risk. The application of these amendments had no significant impact on the Company's financial statements.

(b) *Effective in 2024 that is not Relevant to the Company*

Among the amendments to PFRS Accounting Standards, which are mandatorily effective for annual periods beginning on or after January 1, 2024, amendments to PFRS 16 – *Lease Liability in a Sale and Leaseback*.

(c) *Effective Subsequent to 2024 but not Adopted Early*

There are amendments to existing standards effective for annual periods subsequent to 2024, which are adopted by the FSRSC. Management will adopt the following relevant pronouncements in accordance with their transitional provisions; and unless otherwise indicated, none of these are expected to have significant impact on the Company's financial statements:

- (i) PAS 21 (Amendments), *The Effects of Changes in Foreign Exchange Rates – Lack of Exchangeability* (effective from January 1, 2025).
- (ii) PFRS 9 and PFRS 7 (Amendments), *Financial Instruments, and Financial Instruments: Disclosures – Amendments to the Classification and Measurement of Financial Instruments* (effective from January 1, 2026).
- (iii) PFRS 18, *Presentation and Disclosure in Financial Statements* (effective from January 1, 2027). The new standard impacts the classification of profit or

loss items (i.e., into operating, investing and financing categories) and the presentation of subtotals in the statement of profit or loss (i.e., operating profit and profit before financing and income taxes). The new standard also changes the aggregation and disaggregation of information presented in the primary financial statements and in the notes. It also introduces required disclosures about management-defined performance measures. The amendments, however, do not affect how an entity recognizes and measures its financial condition, financial performance and cash flows.

2.3 Financial Instruments

(a) Financial Assets

(i) Classification, Measurement and Reclassification of Financial Assets

The Company's financial assets include financial assets at amortized cost and at fair value through other comprehensive income and financial assets.

Financial Assets at Amortized Cost

The Company's financial assets at amortized cost are presented in the statement of financial position as Cash and Cash Equivalents, Receivables – net, and Due from Related Parties.

For purposes of cash flows reporting and presentation, cash and cash equivalents comprise accounts with original maturities of three months or less, including cash. These generally include cash on hand, demand deposits and short-term, highly liquid investments readily convertible to known amounts of cash and which are subject to insignificant risk of changes in value.

Interest income is calculated by applying the effective interest rate to the gross carrying amount of the financial assets except for those that are subsequently identified as credit impaired. For credit-impaired financial assets at amortized cost, the effective interest rate is applied to the net carrying amount of the financial assets (after deduction of the loss allowance). The interest earned is recognized in the statement of comprehensive income as Interest Income.

(ii) Financial Assets at Fair Value Through Other Comprehensive Income (FVOCI)

At initial recognition, the Company can make an irrevocable election (on an instrument-by-instrument basis) to designate equity investments as at FVOCI; however, such designation is not permitted if the equity investment is held by the Company for trading or as mandatorily required to be classified as fair value through profit or loss (FVTPL). The Company has designated unquoted equity instruments as at FVOCI on initial recognition.

Financial assets at FVOCI are initially measured at fair value plus transaction costs. Subsequently, they are measured at fair value, with no deduction for any disposal costs. Gains and losses arising from changes in fair value, including the foreign exchange component, are recognized in other comprehensive income and are reported as part of Revaluation Reserves – net account in equity. When the asset is disposed of, the

cumulative gain or loss previously recognized in the Revaluation Reserves - net account is not reclassified to profit or loss but is reclassified directly to Retained Earnings account.

Any dividends earned on holding equity instruments are recognized under the Income section of the statement of comprehensive income, when the Company's right to receive dividends is established, it is probable that the economic benefits associated with the dividend will flow to the Company, and, the amount of the dividend can be measured reliably, unless the dividends clearly represent recovery of a part of the cost of the investment.

(iii) Evaluation of Impairment of Financial Assets

The Company assesses its ECL on its financial assets carried at amortized cost on a forward-looking basis. Recognition of credit losses is no longer dependent on the Company's identification of a credit loss event. Instead, the Company considers a broader range of information in assessing credit risk and measuring expected credit losses, including past events, current conditions, reasonable and supportable forecasts that affect collectability of the future cash flows of the financial assets.

For cash and cash equivalents, the Company applies the low credit risk simplification. The probability of default and loss given defaults are publicly available and are low credit risk investments.

The key elements used in the calculation of ECL are as follows:

- Probability of default – It is an estimate of likelihood of a counterparty defaulting at its financial obligation over a given time horizon, either over the next 12 months or the remaining lifetime of the obligation.
- Loss given default – It is an estimate of loss arising in case where a default occurs at a given time. It is based on the difference between the contractual cash flows of a financial instrument due from a counterparty and those that the Company would expect to receive, including the realization of any collateral or effect of any credit enhancement.
- Exposure at default – It represents the gross carrying amount of the financial instruments in the event of default which pertains to its amortized cost.

Measurement of the ECL is determined by a probability-weighted estimate of credit losses over the expected life of the financial instrument.

(b) *Financial Liabilities*

Financial liabilities include Accrued expenses and other payables (except Due to Government Agencies) and Due to Related Parties.

2.4 Revenue and Expense Recognition

Currently, the Company does not have any revenue source except those arising from financial assets which are under PFRS 9 (i.e., dividends and interest income).

Expenses are recognized in profit or loss upon utilization of the goods or services or at the date they are incurred.

2.5 Leases – Company as Lessee

The Company has elected to account for short-term leases and leases of low-value assets using the practical expedients. Instead of recognizing a right-of-use asset and lease liability, the payments in relation to these are recognized as an expense in profit or loss on a straight-line basis over the lease term.

2.6 Foreign Currency Transactions and Translation

The accounting records of the Company are maintained in Philippine pesos. Foreign currency transactions during the year are translated into the functional currency at exchange rates which approximate those prevailing on transaction dates.

Foreign currency gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognized in profit or loss.

2.7 Employee Benefits

The Company provides post-employment benefits to employees through a defined benefit plan and defined contribution plans, and other employee benefits.

(a) Short-term Employee Benefits

Short-term employee benefits include salaries, contributions to government agencies, and non-monetary benefits provided to current employees, which are expected to be settled before 12 months after the end of the reporting period during which employee services are rendered, but does not include termination benefits.

(b) Post-employment Defined Benefit Plan

The Company's defined benefit post-employment plan covers all regular full-time employees. The pension plan is tax-qualified, non-contributory and administered by a trustee.

The defined benefit obligation is calculated annually or every two years by independent actuaries using the projected unit credit method.

(c) Post-employment Defined Contribution Plan

A defined contribution plan is a post-employment plan under which the Company pays fixed contributions into an independent entity (such as the Social Security System). The Company has no legal or constructive obligation to pay further contributions after payment of the fixed contribution.

(d) *Termination Benefits*

Termination benefits are payable when employment is terminated by the Company before the normal retirement date, or whenever an employee accepts voluntary redundancy in exchange for these benefits. The Company recognizes termination benefits at the earlier of when it can no longer withdraw the offer of such benefits and when it recognizes costs for a restructuring that is within the scope of PAS 37 and involves the payment of termination benefits. In the case of an offer made to encourage voluntary redundancy, the termination benefits are measured based on the number of employees expected to accept the offer. Benefits falling due more than 12 months after the end of the reporting period are discounted to their present value.

2.8 *Related Party Relationships and Transactions*

Related party transactions are transfers of resources, services or obligations between the Company and its related parties, regardless of whether a price is charged.

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial and operating decisions. These parties include: (a) individuals owning, directly or indirectly through one or more intermediaries, control or are controlled by, or under common control with the Company; (b) individuals owning, directly or indirectly, an interest in the voting power of the Company that gives them significant influence over the Company and close members of the family of any such individual; and (c) the Company's partially funded retirement plan.

In considering each possible related party relationship, attention is directed to the substance of the relationship and not merely on the legal form.

Based on the requirement of SEC Memorandum Circular 2019-10, *Rules of Material Related Party Transactions of Publicly-listed Companies*, transactions amounting to 10% or more of the total consolidated assets based on its latest consolidated financial statements that were entered into with related parties are considered material.

All individual material related party transactions shall be approved by at least two-thirds (2/3) vote of the Group's BOD, with at least a majority of the independent directors voting to approve the material related party transactions. In case that a majority of the independent directors' vote is not secured, the material related party transaction may be ratified by the vote of the stockholders representing at least two-thirds of the outstanding capital stock. For aggregate related party transactions within a 12-month period that breaches the materiality threshold of 10% of the Group's consolidated total assets based on the latest consolidated financial statements, the same board approval would be required for the transactions that meet and exceed the materiality threshold covering the same related party.

2.9 *Equity*

Capital stock represents the nominal value of shares that have been issued, reduced by the decrease in par value as approved by the SEC.

Additional paid-in capital (APIC) represents premium received on the initial issuance of capital stock. Any transaction costs associated with the issuance of shares are deducted from APIC, net of any related income tax benefits.

Revaluation reserves - net comprise fair value changes of financial assets at FVOCI and remeasurements of the defined benefit post-employment plan.

Retained earnings represent all current and prior period results of operations as reported in the statement of comprehensive income.

2.10 Loss Per Share

Currently, the Company does not have potentially dilutive shares outstanding; hence, the diluted earnings (loss) per share is equal to the basic loss per share.

2.11 Events After the End of the Reporting Period

Any post year-end event that provides additional information about the Company's financial position at the end of the reporting period (adjusting event) is reflected in the financial statements. Post year-end events that are not adjusting events, if any, are disclosed when material to the financial statements.

3. SIGNIFICANT ACCOUNTING JUDGMENTS AND ESTIMATES

The preparation of the Company's financial statements in accordance with PFRS Accounting Standards requires management to make judgments and estimates that affect the amounts reported in the financial statements and related notes. Judgments and estimates are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. Actual results may ultimately differ from these estimates.

3.1 Critical Management Judgments in Applying Accounting Policies

In the process of applying the Company's accounting policies, management has made the following judgments, apart from those involving estimation, which have the most significant effect on the amounts recognized in the financial statements:

(a) Evaluation of Business Model Applied in Managing Financial Instruments

The Company developed business models which reflect how it manages its portfolio of financial instruments. The Company's business models need not be assessed at entity level or as a whole but shall be applied at the level of a portfolio of financial instruments (i.e., group of financial instruments that are managed together by the Company) and not on an instrument-by-instrument basis (i.e., not based on intention or specific characteristics of individual financial instrument).

In determining the classification of a financial instrument, the Company evaluates in which business model a financial instrument or a portfolio of financial instruments belong to taking into consideration the objectives of each business model established by the Company (e.g., held-for-trading, generating accrual income, direct matching to a specific liability) as those relate to the Company's investment and trading strategies.

(b) *Testing the Cash Flow Characteristics of Financial Assets and Continuing Evaluation of the Business Model*

In determining the classification of financial assets, the Company assesses whether the contractual terms of the financial assets give rise on specified dates to cash flows that are Solely Payments of Principal and Interest (SPPI) on the principal outstanding, with interest representing time value of money and credit risk associated with the principal amount outstanding. Moreover, the assessment as to whether the cash flows meet the test is made in the currency in which the financial asset is denominated. Any other contractual term that changes the timing or amount of cash flows (unless it is a variable interest rate that represents time value of money and credit risk) does not meet the amortized cost criteria. In cases where the relationship between the passage of time and the interest rate of the financial instrument may be imperfect, known as modified time value of money, the Company assesses the modified time value of money feature to determine whether the financial instrument still meets the SPPI criterion. The objective of the assessment is to determine how different the undiscounted contractual cash flows could be from the undiscounted cash flows that would arise if the time value of money element was not modified (the benchmark cash flows). If the resulting difference is significant, the SPPI criterion is not met. In view of this, the Company considers the effect of the modified time value of money element in each reporting period and cumulatively over the life of the financial instrument.

(c) *Recognition of Provisions and Contingencies*

Provisions are recognized when present obligations will probably lead to an outflow of economic resources and they can be estimated reliably even if the timing or amount of the outflow may still be uncertain. A present obligation arises from the presence of a legal or constructive obligation that has resulted from past events.

Judgment is exercised by management to distinguish between provisions and contingencies. Disclosures on relevant provisions and contingencies are presented in Note 16.

3.2 Key Sources of Estimation Uncertainty

The following are the key assumptions concerning the future, and other key sources of estimation uncertainty at the end of the reporting period, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next reporting period:

(a) *Estimation of Allowance for ECL*

The measurement of the allowance for ECL on receivables and due from related parties is an area that requires the use of significant assumptions about the future economic conditions and credit behaviour (e.g., likelihood of counterparties defaulting and the resulting losses). Explanation of the inputs, assumptions and estimation used in measuring ECL is further detailed in Note 4.2.

(b) *Fair Value Measurement for Financial Instruments*

Management applies valuation techniques to determine the fair value of financial instruments where active market quotes are not available. This requires management to develop estimates and assumptions based on market inputs, using unobservable data that market participants would use in pricing the instrument. Where such data is not observable, management uses its best estimate. Estimated fair values of financial instruments may vary from the actual prices that would be achieved in an arm's length transaction at the end of reporting period.

The carrying values of the Company's financial assets at FVOCI and the amounts of fair value changes recognized on those assets are disclosed in Note 7.

(c) *Determination of Realizable Amounts of Deferred Tax Assets*

The Company reviews its deferred tax assets at the end of each reporting period and reduces the carrying amount to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilized. No deferred tax assets were recognized as of September 30, 2025 and December 31, 2024 as the Company's management believes that the Company will not be able to generate sufficient taxable profit in the coming years against which the assets can be utilized (see Note 14).

(d) *Impairment of Non-financial Assets*

In assessing impairment, management estimates the recoverable amount of each asset or a cash-generating unit based on expected future cash flows and uses an interest rate to calculate the present value of those cash flows. Estimation uncertainty relates to assumptions about future operating results and the determination of a suitable discount rate. Though management believes that the assumptions used in the estimation of fair values reflected in the financial statements are appropriate and reasonable, significant changes in those assumptions may materially affect the assessment of recoverable values and any resulting impairment loss could have a material adverse effect on the results of operations.

Accumulated impairment loss recognized on the Company's other assets is disclosed in Note 9.

(e) *Valuation of Post-employment Defined Benefit Obligation*

The determination of the Company's obligation and cost of post-employment defined benefit is dependent on the selection of certain assumptions used by an independent actuary in calculating such amounts. Those assumptions include, among others, discount rates and expected rate of salary increases. A significant change in any of these actuarial assumptions may generally affect the recognized expense, other comprehensive income or loss and the carrying amount of the post-employment benefit obligation in the next reporting period.

The amounts of post-employment benefit obligation and expense and an analysis of the movements in the estimated present value of post-employment benefit, as well as the significant assumptions used in estimating such obligation are presented in Note 13.2.

4. RISK MANAGEMENT OBJECTIVES AND POLICIES

The Company is exposed to a variety of financial risks in relation to financial instruments. The Company's financial assets and financial liabilities by category are summarized in Note 17. The main types of risks are market risk, credit risk, and liquidity risk. The Company's risk management is coordinated with the BOD and focuses on actively securing the Company's short to medium-term cash flows by minimizing the exposure to financial markets.

The Company does not actively engage in the trading of financial assets for speculative purposes, nor does it write options. The relevant financial risks to which the Company is exposed to are described below and in the succeeding pages.

4.1 Market Risk

The Company is exposed to market risk through its use of financial instruments and specifically to foreign currency risk, interest rate risk and certain other price risk which result from both its operating, investing and financing activities.

(a) Foreign Currency Risk

Most of the Company's transactions are carried out in Philippine pesos, its functional currency. Exposures to currency exchange rates mainly arise from the Company's cash and cash equivalents, which are primarily denominated in United States (U.S.) dollars.

To mitigate the Company's exposure to foreign currency risk, non-Philippine peso cash flows are monitored.

As at September 30, 2025 and December 31, 2024, the U.S. dollars denominated financial assets, translated into Philippine pesos at the closing rate amounted to P2,576,956 and P7,185,189, respectively.

The sensitivity of profit before tax with respect to changes in Philippine peso against U.S. dollar exchange rates is identified by management to have an insignificant impact on the Company's financial statements.

(b) Interest Rate Risk

The Company monitors interest rate movements and adjusts on its applicable financial assets and financial liabilities, if any, as may be deemed necessary. At September 30, 2025 and December 31, 2024, the Company is exposed to changes in market interest rates through its cash and cash equivalents which are subject to variable interest rates (see Note 6). Management believes that the impact of changes in market interest rates is not material to the financial statements. All other financial assets and financial liabilities are noninterest bearing.

4.2 Credit Risk

Credit risk is the risk that a counterparty may fail to discharge an obligation to the Company. The Company is exposed to this risk for various financial instruments from granting receivables to customers including related parties and placing deposits with banks. The Company continuously monitors defaults of customers and other counterparties, identified either individually or by Company, and incorporates this information into its credit risk controls. The Company's policy is to deal only with creditworthy counterparties.

Generally, the maximum credit risk exposure of financial assets is the carrying amount of the financial assets as shown in the statements of financial position or in the detailed analysis provided in the notes to financial statements, as summarized below.

<i>(Amounts in PHP)</i>	Notes	2025	2024
Cash and cash equivalents	6	4,958,606	9,155,618
Due from related parties	11	9,550,000	8,200,000
Receivables - net	8	796,364	1,532,306
		15,304,970	18,887,924

None of the Company's financial assets are secured by collateral or other credit enhancements, except for cash and cash equivalents as described below.

(a) Cash and Cash Equivalents

The credit risk for cash and cash equivalents is considered negligible, since the counterparties are reputable banks with high quality external credit ratings. Included in the cash and cash equivalents are cash in banks and short-term placements which are insured by the Philippine Deposit Insurance Corporation up to a maximum coverage of P0.5 million for every depositor per banking institution. Starting March 15, 2025, PDIC will raise the maximum deposit insurance coverage to P1.0 million.

(b) Due from Related Parties

The Company's due from related parties is repayable on demand and the contractual period is the very short period needed to transfer the cash once demanded. Management determines possible impairment based on the related parties' ability to repay the advances upon demand at the reporting date taking into consideration historical defaults from the related parties. Accordingly, no impairment was recognized in 2024.

(c) Receivables - net

The credit risk for interest and other receivables is considered negligible as this pertains to interest earned from short-term placements, which normally matures within 30 to 92 days. The Company applies the simplified approach in measuring ECL which uses a lifetime expected loss allowance for receivables.

4.3 Liquidity Risk

The Company manages its liquidity needs by carefully monitoring cash outflows due in a day-to-day business. Liquidity needs are monitored in various time bands, on a day-to-day and week-to-week basis, as well as based on a rolling 30-day projection. Long-term liquidity needs for a six-month and one-year period are identified monthly.

The Company's financial liabilities (excluding due to government agencies) as at September 30, 2025 and December 31, 2024 are presented below.

<i>(Amounts in PHP)</i>	Notes	2025	2024
Due to related parties	11	18,353,532	19,266,470
Accrued expenses and other liabilities	10	37,624	7,355,463
Loans payable	12	11,357,440	4,683,760
		<u>29,748,596</u>	<u>31,305,693</u>

Financial liabilities have contractual maturities within one year, except for loans payable that have a maturity of more than a year.

5. CAPITAL MANAGEMENT OBJECTIVES, POLICIES AND PROCEDURES

5.1 Capital Management Objectives, Policies and Procedures

The Company's capital management objectives are to ensure that the Company continues as a going concern. With the current financial condition of the Company, the management is working closely with the parent company and the BOD to achieve these objectives.

Relevant information is shown below.

<i>(Amounts in PHP)</i>	2025	2024
Total liabilities	32,034,533	33,593,912
Net equity	40,157,176	42,063,817
Debt-to-equity ratio	<u>0.80 : 1.00</u>	<u>0.80 : 1.00</u>

As at September 30, 2025 and December 31, 2024, the Company is not subject to any externally imposed capital requirements.

5.2 Track Record of Registration of Securities

On April 24, 2018, the SEC approved the decrease in the Company's authorized capital stock from P700,000,000 divided into 700,000,000 common shares to P35,000,000 divided into 700,000,000 common shares by reducing the par value per share from P1.00 to P0.05. In addition, the SEC also approved the application of the resulting surplus amounting to P665,000,000 against the outstanding deficit as of December 31, 2017. On the same day, the SEC approved the Company's

application for increase of its capital stock from P35,000,000 divided into 700,000,000 common shares to P470,000,000 divided into 9,400,000,000 shares. The payables to BSIL and Mr. Xu Hanjiang totalling P122,964,622 were used as subscription for this application.

The Company has a total authorized capital stock of P470,000,000 divided into 9,400,000,000 common shares with a P0.05 par value as at December 31, 2024 and 2023. There are 3,159,292,441 issued and outstanding shares with a total par value of P157,964,622 as of September 30, 2025 and December 31, 2024.

The Company has 474 and 475 stockholders owning 100 or more shares each of the Company's capital stock as at September 30, 2025 and December 31, 2024 respectively.

On November 18, 1975, the SEC approved the listing at the PSE of the Company's shares totalling 700,000,000. As of September 30, 2025 and December 31, 2024, there are 672 and 673 holders of the listed shares equivalent to 100% of the Company's total outstanding shares, respectively. Such listed shares closed at P0.098 and P0.12 per share as of September 30, 2025 and December 31, 2024, respectively. The Company has no other securities being offered for trading in any stock exchange.

On March 26, 2025, the PSE approved the Company's application to list an additional 2,459,292,441 common shares subject of the Company's private placement transaction to support the increase in authorized capital stock (funded by a debt-to-equity conversion) with BSIL and Mr. Xu Hanjiang at a conversion price of P0.05 per share, for a total transaction value amounting to P122,964,622. On April 22, 2025, the PSE approved the listing of said shares.

6. CASH AND CASH EQUIVALENTS

As of September 30, 2025 and December 31, 2024, the Company has cash in bank amounting to P4.9 million and P9.2 million, respectively, which generally earns interest based on daily bank deposit rates.

Interest earned from cash in bank for the quarter ended September 30, 2025 and for the year ended December 31, 2024 amounted to P8,024 and P4,363, respectively. Interest earned is reported as Interest Income in the statements of comprehensive income.

7. FINANCIAL ASSETS AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME

The Company's financial assets at FVOCI pertains to unquoted equity securities. The reconciliation of the carrying amounts of these financial assets are as follows:

<i>(Amounts in PHP)</i>	<u>2025</u>	<u>2024</u>
Balance at beginning of year	56,693,912	44,660,048
Fair value gain	<u>-</u>	<u>12,033,864</u>
Balance at end of year	<u>56,693,912</u>	<u>56,693,912</u>

The Company has designated the equity securities as financial assets at FVOCI because they are held for long-term investments and are neither held-for-trading nor designated as at FVTPL. The investment in unquoted equity security of the Company as at September 30, 2025 and December 31, 2024 mainly pertains to the Company's investment in Manila Exposition Complex, Inc. (MEC) representing 18.18% ownership interest (P31,268,750), investment in I-Mart Corporation (I-Mart) representing 10% ownership interest (P45,000,000) and investment in Export and Industry Bank, Inc. (EIB) representing 2.45% ownership (P478,380,834).

In 2024, the fair value of the Company's investment in MEC is determined using price-to-earnings approach. The fair values of the investments in I-Mart and EIB were determined using the net asset valuation approach in both 2024 and 2023. Hence, these assets are categorized under Level 3 of the fair value hierarchy (see Note 18.2).

In 2025 and 2024, cash dividends amounting to P1,500,000 were received from the investment in MEC. No cash dividends were received in 2023 and 2022.

The investments in I-Mart and EIB are carried at nil in the financial statements as of September 30, 2025 and December 31, 2024. The related fair value gains are accumulated as part of the Revaluation Reserves - net account under the equity section of the statements of financial position.

8. RECEIVABLES – Net

This account consists of the following:

<i>(Amounts in PHP)</i>	2025	2024
Accounts receivable	40,313,000	40,313,000
Other receivables	796,364	1,532,306
	41,109,364	41,845,306
Allowance for impairment	(40,313,000)	(40,313,000)
	796,364	1,532,306

The accounts receivable of the Company pertains to advances granted to a foreign corporation. These advances matured on August 31, 2000. Full allowance for impairment has been provided on this balance as management believes that it may no longer be collectible.

Other receivables pertain to the taxes and licenses paid by the Company on behalf of Classic Tycoon Investment Limited and Fair Navigator Limited, related parties under common ownership, with registered address at British Virgin Islands. The outstanding receivables are unsecured, noninterest-bearing and collectible in cash on demand. These receivables are subject to credit risk. Based on management's review, management determines that the related losses are immaterial to the financial statements. This assessment is undertaken each financial year based on the Company's ECL model as fully disclosed in Note 4.2.

9. OTHER ASSETS – Net

This account consists of the following:

<i>(Amount in PHP)</i>	2025	2024	2023
Input value added tax (VAT)	2,911,493	2,783,175	2,589,199
Allowance for impairment	(2,783,175)	(2,783,175)	(2,589,199)
Computer equipment	64,509	75,893	-
	192,827	75,893	-

On December 10, 2024, the Company acquired computer equipment with an estimated useful life of five years. Depreciation expense amounting to P11,384 has been recognized for the period ended September 30, 2025.

The Company recognized impairment losses on its input VAT since management believes that the Company will not be able to offset such against any future tax liabilities. The amounts of impairment losses amounting to P0.2 million in both 2024 and 2023, are presented as part of Impairment Losses in the statements of comprehensive income.

10. ACCRUED EXPENSES AND OTHER LIABILITIES

This account consists of the following:

<i>(Amounts in PHP)</i>	2025	2024
Accrued expenses	37,624	329,823
Due to a third party	-	7,025,640
Due to government agencies	58,646	60,928
	96,270	7,416,391

Accrued expenses primarily include unpaid professional fees, transportation and other expenses as of the end of the reporting dates.

Due to a third party refers to the excess fund transferred to the Company by Winright Holdings Limited (Winright), a company incorporated and operating in British Virgin Islands. In 2024, the Company entered into a loan agreement with Winright, for the latter to extend a loan facility to the Company up to USD80,000. The Company had drawn the full facility amount in 2024, however, instead of the facility amount of USD80,000 the Company received USD200,000 from Winright. Consequently, the excess fund received was not remitted back to Winright and was booked as loans payable in June 2025 (see Note 12).

11. RELATED PARTY TRANSACTIONS

The Company's related parties include its stockholders, other entities through common ownership and/or with interlocking directors, its retirement fund and key management personnel as described in the succeeding page.

11.1 Due to Related Parties

Due to related parties pertain to noninterest-bearing, unsecured cash advances from related parties for working capital requirements and other purposes. These advances are generally payable in cash upon demand and is presented as Due to Related Parties in the statements of financial position.

In 2024, the Company paid cash advances to BSIL amounting to P41,446. In 2023, the Company received additional advances from BSIL amounting to P10,857,916. The outstanding balance as of September 30, 2025 and December 31, 2024 amounted to P15,253,532 and P16,116,470 respectively. It is presented as part of Due to Related Parties in the statements of financial position

11.2 Due from Related Parties

The Company grants advances to related parties for working capital requirements and other purposes. The advances are noninterest-bearing, unsecured, collectible in cash upon demand. These entities are related parties of the Company by virtue of having interlocking directors and common executive officers. As of September 30, 2025 and December 31, 2024, the outstanding receivable is P9,550,000 and P8,200,000, respectively. It is presented as Due from Related Parties in the statements of financial position.

11.3 Lease of Office Space

The Company leases its office space from a related party under common ownership for a period of one year, renewable upon mutual agreement of the parties. Total rent charged to operations are presented as Occupancy in the statements of comprehensive income. The Company does not have any outstanding liabilities arising from these transactions as of September 30, 2025 and December 31, 2024 as the payments are made every month.

11.4 Key Management Personnel Compensation

The compensation and benefits provided to key management personnel generally consist of short-term employee benefits. These are presented as part of Employee Benefits in the statements of comprehensive income (see Note 13.1).

11.5 Transactions with the Retirement Fund

The retirement fund for the defined benefit post-employment plan is administered and managed by a trustee bank. The fair value and the composition of the plan assets as of September 30, 2025 and December 31, 2024 are presented in Note 13.2.

The retirement fund neither provides any guarantee or surety for any obligation of the Company nor its investments covered by any restrictions or liens.

12. LOANS PAYABLE

On June 9, 2025 and November 12, 2024, the Company entered into interest-bearing loan agreements with Winright for USD120,000 and USD80,000

respectively, at an annual interest rate of 6%, due in 15 months from the date of agreement.

The Company shall repay the loans on the maturity date unless otherwise agreed in writing. As of September 30, 2025, the outstanding loans payable amounting to P11.4 million is presented as Loans Payable in the 2025 statement of financial position. The interest expense earned from these loans for the year ended December 31, 2024, amounted to P37,624, which is presented as part of as Net Interest Expense in the 2024 statement of comprehensive income. There were no similar transactions in 2023 and 2022.

13. EMPLOYEE BENEFITS

13.1 *Employee Benefits Expense*

Details of salaries and employee benefits are presented below.

<i>(Amounts in PHP)</i>	2025	2024	2023
Short-term employee benefits	1,981,504	1,960,949	1,943,191
Post-employment defined benefits	-	-	-
	1,981,504	1,960,949	1,943,191

13.2 *Post-employment Defined Benefit*

(a) *Characteristics of the Defined Benefit Plan*

The Company maintains a partially funded, tax-qualified, non-contributory post-employment benefit plan that is being administered by a trustee bank that is legally separated from the Company. The trustee bank managed the fund in coordination with the Company's Management Committee who acts in the best interest of the plan assets and is responsible for setting the investment policies. The post-employment plan covers all regular full-time employees.

The normal retirement age is 65. The plan also provides for an early retirement at age 50 with a minimum of ten years of credited service and voluntary separation with a minimum of five years of credited service, both subject to the approval of the Company's BOD. Normal retirement benefit is an amount equivalent to 100% of the final monthly salary for every year of credited service.

(b) *Explanation of Amounts Presented in the Financial Statements*

Actuarial valuations are made every two years to update the retirement benefit costs and the amount of contributions. The amounts presented in the succeeding pages are based on the actuarial valuation report obtained from an independent actuary. No actuarial valuation was done in 2023.

The amounts of post-employment benefit obligation recognized in the statements of financial position are determined as follows:

<i>(Amounts in PHP)</i>	<u>2025</u>	<u>2024</u>
Present value of obligation	4,164,584	4,164,584
Fair value of the plan assets	<u>(1,937,293)</u>	<u>(1,937,293)</u>
	<u>2,227,291</u>	<u>2,227,291</u>

In determining the amounts of the defined benefit post-employment obligation, the following significant actuarial assumptions were used for the Company's obligation:

	<u>2024</u>	<u>2023</u>	<u>2022</u>
Current service cost	5.89%	6.92%	6.92%
Expected rate of salary increase	4.00%	4.00%	4.00%

Assumptions regarding future mortality experience are based on published statistics and mortality tables. The average remaining working lives of an individual retiring at the age of 65 is 12 for both males and females.

These assumptions were developed by management with the assistance of an independent actuary. Discount factors are determined close to the end of each reporting period by reference to the interest rates of a zero-coupon government bond with terms to maturity approximating to the terms of the post-employment obligation. Other assumptions are based on current actuarial benchmarks and management's historical experience.

14. TAXES

The components of tax expense as reported in the statements of income and retained earnings are as follows:

<i>(Amount in PHP)</i>	<u>2025</u>	<u>2024</u>	<u>2023</u>
Minimum Corporate Income Tax (MCIT) at 1.5% in 2023 and 2% in 2024	-	-	-
Final tax at 20% and 15%	<u>1,464</u>	<u>466</u>	<u>720</u>
	<u>1,464</u>	<u>466</u>	<u>720</u>

The Company did not recognize net deferred tax assets on net operating loss carry over (NOLCO) and other temporary differences since management believes that the related benefits may not be fully utilized considering the current status of operations of the Company.

The breakdown of the Company's NOLCO as at December 31, 2024, which can be claimed as deductions from future taxable income within three or five years from the year the tax loss was incurred, is presented below. Specifically, NOLCO incurred in 2022 and 2020 can be claimed as a deduction from the gross income

until 2026 and 2025, respectively, in accordance with Republic Act No. 11494, *Bayaniban to Recover as One Act*. The NOLCO incurred in 2022 and 2019 shall be valid for a period of three years.

<i>(Amounts in PHP)</i>				
<u>Year</u>	<u>Original Amount</u>	<u>Expired Balance</u>	<u>Remaining Balance</u>	<u>Valid Until</u>
2024	5,184,828	-	5,184,828	2027
2023	5,104,030	-	5,104,030	2026
2022	4,913,834	-	4,913,834	2025
2021	5,708,824	-	5,708,824	2026
2020	4,959,499	-	4,959,499	2025
	25,871,015	-	25,871,015	

In 2024, 2023 and 2022, the Company is subject to the minimum corporate income tax (MCIT) which is computed at 2%, 1.5% and 1%, respectively, of gross income net of allowable deductions, respectively, as defined under the tax regulations, or to RCIT, whichever is higher. There was no RCIT incurred in 2024, 2023 and 2022 as the Company is in a tax loss position in both years. However, the Company incurred MCIT in 2024, 2023 and 2022 due to realized foreign currency gains.

In 2024, 2023 and 2022, the Company opted to claim itemized deductions in computing for its income tax due.

15. BASIC AND DILUTED LOSS PER SHARE

Basic and diluted loss per share for the quarters ended September 30, 2025, 2024, and 2023 is computed as follows:

<i>(Amounts in PHP)</i>	<u>2025</u>	<u>2024</u>	<u>2023</u>
Net loss attributable to the shareholders of the Company	(1,906,641)	(2,005,225)	(3,402,524)
Divided by the weighted average number of outstanding shares	3,159,292,441	3,159,292,441	3,159,292,441
Basic and diluted loss per share	(0.0006)	(0.0006)	(0.0011)

The Company has no potentially dilutive common shares as of September 30, 2025 and 2024.

16. COMMITMENTS AND CONTINGENCIES

There are commitments and contingencies that arise in the normal course of the Company's operations which are not reflected in the financial statements. As at September 30, 2025, 2024, and 2023, management is of the opinion that losses, if any, that may arise from these commitments and contingencies will not have a material effect on the Company's financial statements.

17. CATEGORIES AND OFFSETTING OF FINANCIAL ASSETS AND FINANCIAL LIABILITIES

17.1 Carrying Amounts and Fair Values by Category

The Company has no financial assets at fair value whose fair value is required to be disclosed. For the Company's financial assets and financial liabilities at amortized cost as of September 30, 2025 and December 31, 2024, management considers that their carrying values approximate or equal their fair values, thus, no further comparison is presented. Fair value determination of such financial instruments is discussed in Note 18.

17.2 Offsetting of Financial Assets and Financial Liabilities

The Company has not set off financial instruments and does not have relevant offsetting arrangements. Currently, financial assets and financial liabilities are settled on a gross basis; however, each party to the financial instrument (particularly related parties) will have the option to settle all such amounts on a net basis in the event of default of the other party through approval by the respective BOD and stockholders of both parties or upon instruction by its major stockholders. There was no potential offsetting as at September 30, 2025 and December 31, 2024.

18. FAIR VALUE MEASUREMENT AND DISCLOSURES

18.1 Fair Value Hierarchy

In accordance with PFRS 13, *Fair Value Measurement*, the fair value of financial assets and financial liabilities and non-financial assets which are measured at fair value on a recurring or non-recurring basis and those assets and liabilities not measured at fair value but for which fair value is disclosed in accordance with other relevant PFRS Accounting Standards, are categorized into three levels based on the significance of inputs used to measure the fair value.

The fair value hierarchy has the following levels:

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities that an entity can access at the measurement date;
- Level 2: inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e., as prices) or indirectly (i.e., derived from prices); and,
- Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs).

The level within which the asset or liability is classified is determined based on the lowest level of significant input to the fair value measurement.

For purposes of determining the market value at Level 1, a market is regarded as active if quoted prices are readily and regularly available from an exchange, dealer, broker, industry Company, pricing service, or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm's length basis.

For investments which do not have quoted market price, the fair value is determined by using generally acceptable pricing models and valuation techniques or by reference to the current market of another instrument which is substantially the same after taking into account the related credit risk of counterparties or is calculated based on the expected cash flows of the underlying net asset base of the instrument.

When the Company uses valuation technique, it maximizes the use of observable market data where it is available and relies as little as possible on entity specific estimates. If all significant inputs required to determine the fair value of an instrument are observable, the instrument is included in Level 2. Otherwise, it is included in Level 3.

18.2 Financial Instruments Measured at Fair Value

The Company holds financial assets at FVOCI. The fair value of investments in I-Mart and EIB has been determined based on the net asset approach. Provided with allowance, the assets are carried at nil as of September 30, 2025 and December 31, 2024.

In 2024 and 2023, the Company used the market approach – price-to-earnings as its valuation method in determining the fair value of investments in MEC. The approach is based on valuation technique where the Company measures its current share price relative to its earnings per share. The price-to-earnings ratio is also known as the price multiple or the earnings multiple.

All financial assets at FVOCI are categorized under Level 3 of the fair value hierarchy.

The Company has no financial liabilities measured at fair value as of September 30, 2025 and December 31, 2024.

18.3 Financial Instruments Measured at Amortized Cost for which Fair Value is Disclosed

Management considers that due to the short duration of financial assets and financial liabilities measured at amortized cost, as disclosed in Note 17, their carrying amounts as of September 30, 2025 and December 31, 2024 approximate their fair value. Except for cash and cash equivalents which is classified under Level 1, all other financial instruments are classified under Level 3 wherein inputs are not based on observable data.

There were neither transfers between Levels 1 and 2 nor changes in Level 3 instruments in both years.

MEDCO HOLDINGS, INC.
AGING OF RECEIVABLES
As of September 30, 2025

		NO OF DAYS OUTSTANDING				
	AMOUNT	1 -30 days	31-60 days	61-90 days	91-120 days	Over 120 days
Various	P796,364	P1,523	-	-	-	P794,841